

RAJKIYA ENGINEERING COLLEGE, KANNAUJ (839)

Affiliated to Dr. A.P.J. Abdul Kalam Technical University (AKTU), Lucknow

LECTURE CLASS-NOTES

Entrepreneurship Development

(Subject Code: KOE084)

Units Covered: III, IV & V

B.Tech Final Year (Semester VIII)

Branch: CS / CE / EE / EL

Session: 2025–26

Prepared as a comprehensive academic resource aligned with AKTU syllabus.

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Preface and How to Use These Notes

These class-notes have been prepared for B.Tech (final year, Semester VIII) students studying Entrepreneurship Development (KOE084) under the AKTU curriculum. The notes consolidate Units III, IV and V — the financial, project-management, and legal-institutional dimensions of entrepreneurship — into a single, exam-focused resource.

Each unit is organized into thematically linked sub-sections that follow the order of the official syllabus. Key concepts are explained in plain academic prose, supported by definitions, characteristics, and conceptual contrasts.

Unit III — Accountancy and Operational Management

Unit III integrates the financial and operational backbone of an enterprise. It begins with the foundational accounting statement — the balance sheet — and progressively widens to cover economic viability, decision making, cost expectations, production planning, quality, marketing, industrial relations, sales-purchase cycles, advertisement, wages, inventory, financial reporting, and stores study. Together these sub-topics describe the managerial control system through which an entrepreneur converts capital into sustained operational performance.

3.1 Balance Sheet — Concept, Structure and Preparation

A balance sheet is a formal financial statement that presents the financial position of a business on a specified date. It lists, on one side, all assets owned by the enterprise and, on the other, the claims against those assets in the form of liabilities and owners' equity. The statement rests on the fundamental accounting equation: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$.

Important Concept — What is meant by a balance sheet?

Answer: A balance sheet is a financial statement that depicts the financial position of a business on a particular date by listing its assets, liabilities, and owner's equity. It is prepared at the end of an accounting period and is governed by the equation $\text{Assets} = \text{Liabilities} + \text{Capital}$. It is also referred to as the Statement of Financial Position because it summarizes what the business owns and what it owes at a single point in time.

Structure of a Balance Sheet:

- **Assets** — Resources owned by the business that are expected to yield future economic benefit. They are sub-classified into fixed assets (land, plant, machinery), current assets (cash, debtors, stock), and intangible assets (goodwill, patents).
- **Liabilities** — Obligations payable to outsiders. These include long-term liabilities (debentures, term loans) and current liabilities (creditors, bills payable, outstanding expenses).
- **Owner's Equity (Capital)** — The residual claim of the proprietor or shareholders, comprising paid-up capital, reserves, and retained earnings.

Steps in Preparation:

- Prepare the Trial Balance from ledger account balances.
- Pass adjustment entries (depreciation, outstanding expenses, prepaid items, closing stock).
- Transfer nominal accounts to the Trading and Profit & Loss Account to ascertain net profit or loss.
- Carry the remaining real and personal accounts to the balance sheet under appropriate heads.
- Ensure the totals of both sides agree, satisfying the accounting equation.

Importance in Assessing Financial Health:

- Indicates liquidity through the relationship between current assets and current liabilities.
- Reveals solvency by comparing total assets with total liabilities.
- Assists creditors, investors, and management in evaluating the financial soundness of the firm.
- Forms the basis for ratio analysis, valuation of the business, and credit appraisal.

Important Concept — Explain the preparation of a balance sheet and discuss how it helps in

assessing the financial health of a business.

Answer: Preparation of a balance sheet involves systematically classifying and recording all assets, liabilities, and capital of an enterprise on a given date. The process begins with extraction of balances from the ledger into a trial balance, followed by incorporation of adjustments such as depreciation, outstanding expenses, prepaid expenses, and closing stock. Nominal accounts are transferred to the Trading and Profit & Loss Account to determine net profit, which is then added to capital. The remaining real and personal accounts are arranged in the balance sheet — assets on one side and liabilities and capital on the other — in order of liquidity or permanence as prescribed.

The balance sheet helps assess the financial health of a business in several ways: (i) it discloses liquidity by comparing current assets with current liabilities, indicating the firm's capacity to meet short-term obligations; (ii) it discloses solvency by comparing total assets with total external liabilities, indicating long-term financial stability; (iii) it measures the proprietor's stake through owner's equity; (iv) it reveals the capital structure and the degree of financial leverage; (v) it provides a basis for computation of key financial ratios such as current ratio, quick ratio, and debt-equity ratio; and (vi) it supports credit appraisal by lenders and investment decisions by shareholders. Thus, the balance sheet operates as a comprehensive diagnostic tool for evaluating the financial soundness, growth potential, and risk profile of the enterprise.

3.2 Economic Viability of a Project

Economic viability examines whether a project will generate sufficient economic returns to justify the investment of resources. Unlike technical feasibility, which addresses whether a project can be built, economic viability addresses whether it should be built. It incorporates expected revenues, projected costs, time value of money, and risk to determine whether the venture creates net economic value.

Important Concept — Define the economic viability of a project.

Answer: Economic viability of a project refers to its ability to generate sufficient economic benefits — in the form of revenues, cost savings, or social returns — to justify the resources invested in it. A project is said to be economically viable when its expected benefits exceed its costs over the project's life, after accounting for the time value of money and risk. It is generally tested through tools such as Net Present Value (NPV), Internal Rate of Return (IRR), Benefit-Cost Ratio, and Payback Period.

Key Determinants of Economic Viability:

- Demand projections for the product or service.
- Cost structure — fixed and variable.
- Capital outlay and source of finance.
- Time horizon and discount rate.
- Sensitivity to external risk factors (price, demand, regulation).

3.3 Decision Making in Enterprise

Decision making is the deliberate process of selecting a course of action from among competing alternatives to achieve organizational objectives. In the entrepreneurial context, decisions span strategic (long-term direction), tactical (medium-term resource allocation), and operational (day-to-day execution) levels. Sound decision making relies on accurate data, structured analysis, judgment under uncertainty, and timely action.

Steps in Rational Decision Making:

- Identification and clear definition of the problem.
- Collection and analysis of relevant information.
- Generation of alternative courses of action.
- Evaluation of alternatives against decision criteria.
- Selection of the best alternative.
- Implementation and follow-up review.

3.4 Expected Costs

Expected costs are the estimated outflows an enterprise anticipates while executing a project or operation. They are forward-looking and probabilistic in nature, computed by weighting possible cost outcomes by their likelihood of occurrence. Estimating expected costs enables realistic budgeting, accurate pricing, and credible feasibility analysis.

Major Categories of Costs:

- Fixed Costs — Independent of output volume (rent, salaries, depreciation).
- Variable Costs — Move proportionately with output (raw material, direct labour).
- Semi-variable Costs — Possess both fixed and variable components (electricity, telephone).
- Direct and Indirect Costs — Traceable or non-traceable to a specific cost unit.
- Opportunity Cost — Value of the next-best alternative foregone.

3.5 Planning and Production Control

Production planning and control (PPC) is the managerial function that ensures the right quantity of the right quality of output is produced at the right time, using the right resources, at minimum cost. Planning establishes what is to be produced and how; control ensures that actual production conforms to the plan.

Functions of Production Planning:

- Routing — Determining the path of materials through operations.
- Scheduling — Fixing time-tables for each operation.
- Loading — Allocating work to machines and workers.
- Dispatching — Authorizing actual commencement of production.

Functions of Production Control:

- Follow-up — Monitoring progress against schedule.
- Inspection — Verifying conformity to specifications.
- Corrective action — Rectifying deviations.

3.6 Quality Control

Quality control (QC) is the systematic process of ensuring that goods and services conform to predetermined standards of quality. It involves measurement of attributes, comparison with specifications, and corrective action when deviations occur. Quality control is preventive as well as detective in nature.

Objectives:

- To produce goods of consistent and uniform quality.
- To minimize wastage, rejection, and rework.
- To enhance customer satisfaction and brand reputation.
- To reduce overall cost through prevention of defects.

Techniques: Statistical Quality Control (SQC), Control Charts, Acceptance Sampling, Total Quality Management (TQM), Six Sigma, ISO 9000 standards.

3.7 Marketing

Marketing is the comprehensive process of identifying customer needs, designing products and services to satisfy those needs, communicating value, and delivering the offering at a profit. For an entrepreneur, marketing is not a peripheral function but the engine that converts a business idea into sustained revenue.

The 4 Ps of Marketing Mix:

- Product — Features, quality, branding, packaging.
- Price — Pricing strategy, discounts, credit terms.
- Place — Channels of distribution, logistics, coverage.
- Promotion — Advertisement, personal selling, sales promotion, public relations.

3.8 Industrial Relations

Industrial relations refers to the relationship among employers, employees, trade unions, and the government in the work environment. Healthy industrial relations are essential for industrial peace, productivity, and organizational stability.

Objectives of Industrial Relations:

- To maintain harmonious relations between management and workers.
- To safeguard the interests of both parties.
- To minimize industrial disputes through negotiation and collective bargaining.
- To promote employee welfare, motivation, and participation in management.

3.9 Sales and Purchases

Sales and purchases constitute the two principal flows of an enterprise. The purchase function procures inputs of the right quality, quantity, and price; the sales function transfers finished goods to customers, generating revenue. Both must be governed by documented policies, authorization controls, and accurate record-keeping.

Purchase Function — Steps:

- Recognition of need (purchase requisition).
- Selection of supplier and inviting quotations.
- Issue of purchase order.
- Receipt and inspection of goods.
- Verification of invoice and payment.

Sales Function — Steps:

- Identification of prospective customers.

- Negotiation and order acceptance.
- Despatch and delivery.
- Invoicing and collection of payment.
- After-sales service and feedback.

3.10 Advertisement

Advertisement is a paid, non-personal form of mass communication aimed at informing, persuading, or reminding target audiences about a product, service, or idea. It plays a decisive role in demand creation, brand building, and competitive positioning.

Functions of Advertisement:

- Informative — Communicating product features and availability.
- Persuasive — Influencing buyer preference and choice.
- Reminder — Reinforcing brand recall.
- Competitive — Differentiating from rivals.

Media: Print (newspaper, magazine), Broadcast (television, radio), Outdoor (hoardings, transit), Digital (search, social media, OTT), and Direct (mailers, SMS).

3.11 Wages and Incentives

Wages are the monetary compensation paid to workers in return for their labour, while incentives are additional rewards — monetary or non-monetary — designed to stimulate higher performance. Together they constitute the principal mechanism for attracting, retaining, and motivating the workforce.

Wage Systems:

- Time Rate System — Wages based on hours worked, irrespective of output.
- Piece Rate System — Wages based on units produced.
- Differential Piece Rate — Higher rates beyond a standard output.
- Premium Bonus Plans — Halsey, Rowan, and Taylor plans combining time and output.

Incentives:

- Monetary — Bonus, profit sharing, commission.
- Non-monetary — Recognition, promotion, training, job enrichment.

3.12 Inventory Control

Inventory control is the systematic management of stocks of raw materials, work-in-progress, and finished goods so as to maintain adequate availability while minimizing the cost of holding inventory. It seeks an optimal balance between stock-out risk and carrying cost.

Techniques of Inventory Control:

- ABC Analysis — Classifies items by value: A (high), B (medium), C (low).
- Economic Order Quantity (EOQ) — Order size that minimizes total inventory cost.
- Just-in-Time (JIT) — Procuring inputs precisely when required, eliminating idle stock.
- VED Analysis — Vital, Essential, Desirable classification (used in spare-parts management).

- Reorder Level, Maximum and Minimum Stock Levels, and Safety Stock.

3.13 Preparation of Financial Reports

Financial reports are structured statements that communicate the financial performance and position of an enterprise to internal and external stakeholders. They are prepared in accordance with accepted accounting principles and statutory requirements.

Principal Financial Reports:

- Trading Account — Discloses gross profit or gross loss.
- Profit and Loss Account — Discloses net profit or net loss.
- Balance Sheet — Discloses assets, liabilities, and capital.
- Cash Flow Statement — Discloses inflows and outflows of cash from operating, investing, and financing activities.
- Funds Flow Statement — Discloses changes in working capital.

3.14 Accounts and Stores Studies

Accounts study refers to the systematic examination of an enterprise's accounting records to verify accuracy, ensure compliance, and derive managerial insights. Stores study examines the physical management of materials — receipt, storage, issue, and reconciliation with book records.

Objectives:

- Detection and prevention of errors and frauds.
- Verification of inventory records through periodic and perpetual systems.
- Improvement of internal control systems.
- Generation of data for decision making.

3.15 Revision Q&A — Unit III

Q. What is the accounting equation that underlies the balance sheet?

Ans. The accounting equation is: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$. It expresses the fundamental balance between resources owned and the claims against them.

Q. Differentiate between fixed assets and current assets.

Ans. Fixed assets are long-term resources held for use in operations and not for resale (e.g., land, machinery). Current assets are short-term resources that are converted into cash within one operating cycle (e.g., cash, debtors, stock).

Q. Name two methods used to assess economic viability.

Ans. Net Present Value (NPV) and Internal Rate of Return (IRR). Other methods include Payback Period and Benefit-Cost Ratio.

Q. What is meant by routing in production planning?

Ans. Routing is the process of determining the sequence of operations and the path that materials will follow from raw input to finished output through the production system.

Q. Distinguish between time-rate and piece-rate wage systems.

Ans. Under the time-rate system, wages depend on hours worked irrespective of output. Under the piece-rate system, wages depend on the number of units produced, independent of time taken.

Q. What is the principal objective of inventory control?

Ans. To maintain adequate availability of materials for uninterrupted operations while minimizing carrying cost, ordering cost, and stock-out cost.

Q. Define ABC analysis.

Ans. ABC analysis classifies inventory items into three categories — A (high value, low volume), B (moderate value and volume), and C (low value, high volume) — to apply differential control intensity proportional to value.

Q. What is industrial relations?

Ans. Industrial relations is the network of relationships between employers, employees, trade unions, and the government that governs the conditions of work and resolves disputes.

Unit IV — Project Planning and Control

Unit IV addresses the financial logic of project management. It explains how the financial function operates inside an enterprise, how the cost of capital governs investment decisions, how projects are evaluated economically, how risk is analyzed, and how cash flows and capital expenditures are planned and controlled. The unit closes with the architecture of financial control and the communication systems that hold the project together.

4.1 The Financial Functions

The financial function is the managerial activity concerned with planning, raising, allocating, and controlling the financial resources of an enterprise. It is broadly grouped into recurring (executive) and non-recurring (incidental) functions.

Executive Financial Functions:

- Investment Decision — Selection of assets in which funds are to be invested.
- Financing Decision — Selection of the optimal mix of debt and equity.
- Dividend Decision — Determination of the proportion of profit to distribute.
- Liquidity Decision — Management of working capital to ensure short-term solvency.

Incidental Financial Functions:

- Custody and safeguarding of cash and securities.
- Maintenance of accounting records and statutory compliance.
- Reporting to top management and external stakeholders.

4.2 Cost of Capital Approach in Project Planning and Control

The cost of capital is the minimum rate of return that an enterprise must earn on its investments to satisfy the expectations of its providers of finance — both lenders and shareholders. It is the discount rate used to evaluate the desirability of investment proposals and is therefore a cornerstone of project planning and control.

Important Concept— What is the cost of capital?

Answer: Cost of capital is the minimum rate of return that an enterprise must earn on its invested capital so as to maintain the market value of its equity and meet the expectations of investors and lenders. It represents the weighted average cost of various sources of long-term finance — equity capital, preference capital, debentures, and retained earnings — and serves as the discount rate (hurdle rate) for evaluating capital investment proposals.

Components of Cost of Capital:

- Cost of Debt (K_d) — Effective interest rate after tax adjustment.
- Cost of Preference Capital (K_p) — Fixed dividend rate divided by net proceeds.
- Cost of Equity (K_e) — Return expected by equity shareholders, often estimated by Dividend Capitalization or CAPM models.
- Cost of Retained Earnings (K_r) — Opportunity cost of profits ploughed back into the firm.
- Weighted Average Cost of Capital (WACC) — Composite of all sources weighted by their proportion in the capital structure.

Role in Project Planning and Control:

- Acts as the cut-off rate for accepting or rejecting a project under NPV / IRR criteria.
- Guides the design of an optimal capital structure that minimizes WACC.
- Serves as a benchmark against which actual project returns are monitored.
- Supports performance evaluation through Economic Value Added (EVA) and similar measures.
- Influences pricing of products by signalling the minimum margin required.

■ Important Concept— Discuss the concept of project planning and control. Explain the role of cost of capital in financial decision-making.

Answer: Project planning is the systematic process of defining the objectives, scope, activities, resources, schedule, and budget of a project before its execution begins. It encompasses feasibility analysis, resource estimation, scheduling, financial planning, and risk assessment. Project control, on the other hand, is the continuous managerial activity of comparing actual performance with the plan, identifying deviations, and initiating corrective measures so that the project is delivered on time, within budget, and to the required standard. Tools commonly employed include Gantt charts, PERT, CPM, milestone reviews, and earned-value analysis.

The cost of capital plays a central role in financial decision-making. First, it serves as the hurdle rate for evaluating investment proposals — only projects whose expected return exceeds the cost of capital are accepted, ensuring that resources are committed to value-creating ventures. Second, it guides capital structure decisions: management seeks the combination of debt, preference, and equity that minimizes the weighted average cost of capital while preserving an acceptable risk profile. Third, the cost of capital serves as the discount rate for computing Net Present Value and as the benchmark against which Internal Rate of Return is judged. Fourth, it informs dividend policy, since the cost of retained earnings represents the opportunity return foregone by shareholders. Fifth, it provides the foundation for performance measurement frameworks such as Economic Value Added, where value creation is recognized only when returns exceed the cost of capital. In sum, the cost of capital functions both as a screening device for project selection and as a continuous benchmark for monitoring financial performance, making it indispensable to rational financial decision-making.

4.3 Economic Evaluation of Projects

Economic evaluation is the structured process of judging whether a project is worth undertaking from the standpoint of economic returns. It compares the present value of expected benefits with the present value of costs over the project's life.

Methods of Economic Evaluation:

- Payback Period — Time required to recover the initial investment.
- Accounting Rate of Return (ARR) — Average accounting profit as a percentage of investment.
- Net Present Value (NPV) — Present value of net cash inflows less initial investment.
- Internal Rate of Return (IRR) — Discount rate at which NPV equals zero.
- Profitability Index (PI) — Ratio of present value of inflows to initial outflow.

4.4 Risk Analysis

Risk analysis is the systematic identification, quantification, and evaluation of uncertainties that may affect project outcomes. Its goal is to enable management to make informed decisions in the presence of variability in revenues, costs, and external factors.

Techniques of Risk Analysis:

- Sensitivity Analysis — Examining how changes in one variable affect outcomes.
- Scenario Analysis — Evaluating outcomes under best, worst, and most-likely scenarios.
- Probability Analysis / Expected Value — Weighting outcomes by their likelihood.
- Decision Tree Analysis — Mapping sequential decisions and their probabilistic outcomes.
- Monte Carlo Simulation — Generating thousands of possible outcomes through random sampling.
- Risk-adjusted Discount Rate — Adding a risk premium to the discount rate.

4.5 Capital Expenditure: Policies and Practices in Public Enterprises

Capital expenditure (CapEx) refers to the outlay of funds on long-term assets such as land, plant, and equipment, the benefits of which extend over several years. In public enterprises, capital expenditure is governed not only by financial criteria but also by social, developmental, and strategic objectives.

Policies in Public Enterprises:

- Alignment with national plan priorities and sectoral objectives.
- Adherence to budgetary discipline and parliamentary approval procedures.
- Multi-stage appraisal — technical, economic, financial, and social cost-benefit.
- Emphasis on social rate of return alongside financial rate of return.

Practices:

- Preparation of Detailed Project Reports (DPR) and Feasibility Reports.
- Approval by competent authorities such as the Public Investment Board.
- Periodic review by parliamentary committees and the Comptroller and Auditor General.
- Post-completion audit to assess realization of expected benefits.

4.6 Profit Planning and Programming

Profit planning is the forward-looking exercise of setting profit targets and identifying the strategies, products, prices, and cost structures required to achieve them. Profit programming is the operational translation of those targets into specific budgets and action plans.

Steps in Profit Planning:

- Establish profit objectives consistent with corporate strategy.
- Forecast sales volume and revenue.
- Estimate fixed and variable costs.
- Apply Cost-Volume-Profit (CVP) analysis to identify the break-even point.
- Develop functional budgets — sales, production, materials, labour, and overheads.
- Monitor performance and revise plans in light of variances.

4.7 Planning Cash Flow, Capital Expenditure and Operations

Cash-flow planning forecasts the timing and magnitude of cash receipts and payments so that liquidity is maintained without holding excessive idle balances. It is operationalized through the cash budget, which projects inflows and outflows on a monthly or weekly basis.

Components of Cash Flow:

- Operating Cash Flows — Receipts from customers, payments to suppliers and employees.
- Investing Cash Flows — Outlays on capital expenditure, proceeds from asset sales.
- Financing Cash Flows — Issuance of equity or debt, repayment of loans, dividends.

Capital expenditure planning identifies long-term asset requirements, evaluates them through discounted cash-flow techniques, and integrates them into the overall financial plan. Operational planning translates the strategic plan into short-term action — production schedules, procurement plans, manpower deployment, and marketing programmes — and ties them back to financial budgets.

4.8 Control of Financial Flows

Control of financial flows is the continuous oversight of money movements within the enterprise to ensure that they conform to plan and that resources are not lost through inefficiency, fraud, or misallocation.

Mechanisms of Financial Control:

- Budgetary Control — Comparison of actuals with budgets and analysis of variances.
- Standard Costing — Setting standard costs and analyzing material, labour, and overhead variances.
- Internal Control Systems — Segregation of duties, authorization protocols, reconciliations.
- Internal and External Audit — Independent verification of records and procedures.
- Ratio and Trend Analysis — Continuous monitoring of liquidity, solvency, and profitability ratios.

 **Important Concept**— State one objective of financial control.

Answer: One key objective of financial control is to ensure that the financial resources of the enterprise are utilized efficiently and in accordance with the approved plan. This is achieved by comparing actual financial performance with budgeted figures, identifying variances, and initiating corrective action so that the enterprise meets its profitability, liquidity, and solvency goals.

4.9 Control and Communication

Control without communication is ineffective. The control system depends on a continuous flow of accurate, timely, and relevant information among management levels. Communication channels — formal reports, dashboards, review meetings, and digital information systems — carry feedback that triggers corrective decisions.

Attributes of Effective Communication in Control:

- Accuracy — Free from material error.
- Timeliness — Available when needed for decision making.
- Relevance — Focused on key performance variables.
- Clarity — Understandable to the recipient.
- Two-way flow — Permitting feedback as well as instruction.

4.10 Revision Q&A — Unit IV

Q. What are the four executive financial functions?

Ans. Investment decision, financing decision, dividend decision, and liquidity decision.

Q. Define Weighted Average Cost of Capital (WACC).

Ans. WACC is the composite cost of all sources of long-term finance, where each source's cost is weighted by its proportionate share in the firm's capital structure.

Q. Why is the cost of debt adjusted for tax?

Ans. Because interest on debt is a tax-deductible expense; the effective cost to the firm is therefore the interest rate multiplied by $(1 - \text{tax rate})$.

Q. Distinguish between NPV and IRR.

Ans. NPV is the absolute monetary surplus of present value of cash inflows over outflows at a given discount rate; IRR is the discount rate at which NPV equals zero. NPV measures value addition; IRR measures yield.

Q. What is sensitivity analysis?

Ans. It is a technique that examines how changes in one input variable — such as sales price, volume, or cost — affect a project's outcome, helping identify variables to which the project is most exposed.

Q. Why is cash-flow planning important even in profitable firms?

Ans. Profit and cash are not the same. A firm may earn accounting profits yet face liquidity shortages due to credit sales, inventory build-up, or capital expenditure timing.

Q. What is budgetary control?

Ans. Budgetary control is the process of preparing budgets, comparing actual performance with budgeted figures, analyzing variances, and taking corrective action to align performance with objectives.

Q. Mention any two methods of risk analysis in capital budgeting.

Ans. Sensitivity analysis and probability / expected-value analysis. Other methods include scenario analysis, decision-tree analysis, and Monte Carlo simulation.

Unit V — Laws and Institutional Support for Entrepreneurs

Unit V acquaints students with the legal environment within which an entrepreneur must operate and the institutional ecosystem that supports small-scale enterprises in India. The unit covers partnership laws, forms of business ownership, sales and income tax obligations, the Workmen's Compensation Act, and the role of central and state agencies in promoting small-scale industries.

5.1 Partnership Laws

Partnership in India is governed by the Indian Partnership Act, 1932. Section 4 of the Act defines partnership as 'the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all'. The persons who enter into such a relation are individually called partners and collectively a firm.

Important Concept— What is meant by a partnership business?

Answer: A partnership business is a form of business organization in which two or more persons agree to carry on a lawful business jointly and to share its profits and losses in an agreed ratio. As per Section 4 of the Indian Partnership Act, 1932, partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all. Its essential features are mutual agreement, sharing of profits, mutual agency, and lawful business.

Essential Features of Partnership:

- Agreement — Voluntary contractual relationship between partners.
- Number of Persons — Minimum of two; maximum as prescribed under the Companies Act (currently 50 for non-banking businesses).
- Lawful Business — The objective must be a legal business activity.
- Sharing of Profits — Profits (and by implication losses) must be shared.
- Mutual Agency — Each partner is both an agent and a principal of the firm.

Types of Partners:

- Active Partner — Participates in management.
- Sleeping/Dormant Partner — Contributes capital but does not manage.
- Nominal Partner — Lends only name; no capital or management.
- Partner by Estoppel/Holding Out — Held liable due to representation.
- Minor Partner — Admitted only to the benefits of partnership, not to losses beyond his share.

Registration of Firm: Although registration under the Act is not compulsory, an unregistered firm cannot file a suit against third parties or partners to enforce contractual rights.

5.2 Forms of Business Ownership

Business ownership refers to the legal form chosen for organizing and operating an enterprise. The choice is driven by considerations of liability, capital requirement, control, taxation, continuity, and statutory compliance.

Principal Forms:

- Sole Proprietorship — Single owner, unlimited liability, simple formation, complete control.

- Partnership Firm — Two or more partners, governed by the Indian Partnership Act, 1932; unlimited joint and several liability.
- Limited Liability Partnership (LLP) — Hybrid form under the LLP Act, 2008; limited liability with partnership flexibility.
- Joint Hindu Family (HUF) Business — Governed by Hindu Law; managed by the Karta.
- Cooperative Society — Voluntary association based on mutual help; one-member-one-vote.
- Joint Stock Company — Private or Public; separate legal entity under the Companies Act, 2013; limited liability; perpetual succession.

5.3 Sales and Income Taxes

Taxation is a statutory obligation that every entrepreneur must understand and comply with. In India, taxes relevant to a business include direct taxes (chiefly income tax) and indirect taxes (chiefly Goods and Services Tax, which has subsumed the earlier sales tax regime).

Income Tax:

- Levied on the income of individuals, firms, and companies under the Income Tax Act, 1961.
- Computed under five heads — salaries, house property, profits and gains of business or profession, capital gains, and income from other sources.
- Firms and companies are taxed at prescribed rates; individuals at slab rates.
- Compliance involves filing returns, advance tax payment, tax audit, and TDS provisions.

Sales Tax / GST:

- Sales tax was historically levied by states on the sale of goods within the state, while central sales tax applied to inter-state sales.
- Since 1 July 2017, sales tax, VAT, excise duty, service tax, and several other indirect taxes have been subsumed under the Goods and Services Tax (GST).
- GST is a destination-based, multi-stage, value-added tax with three components — CGST, SGST/UTGST, and IGST.
- Registration is mandatory beyond prescribed turnover thresholds; periodic returns must be filed.

5.4 Workmen's Compensation Act

The Workmen's Compensation Act, 1923 (renamed the Employees' Compensation Act, 1923, by the amendment of 2010) imposes a statutory obligation on the employer to pay compensation to a workman, or in case of death to his dependants, for personal injury caused by an accident arising out of and in the course of employment.

Salient Features:

- Applicable to specified categories of employees engaged in factories, mines, plantations, construction, transport, etc.
- Compensation is payable for death, permanent total disablement, permanent partial disablement, and temporary disablement.
- Compensation amount is computed on the basis of monthly wages, age of the workman, and the nature of injury, in accordance with the prescribed schedule.

- Employer's liability arises only when the injury results from an accident arising out of and in the course of employment, subject to certain exceptions (e.g., wilful disobedience, intoxication).
- Disputes are settled by the Commissioner for Workmen's Compensation.

The Act seeks to provide social security to workers and to internalize the cost of industrial accidents within the production process.

5.5 National Agencies Assisting Small Scale Industries

The Government of India has established a network of institutions to nurture small-scale and micro enterprises through finance, technology, training, and marketing support.

Key National Agencies:

- Ministry of Micro, Small and Medium Enterprises (MSME) — Apex policy-making body.
- Small Industries Development Organisation (SIDO) / Office of the Development Commissioner (MSME) — Coordinates promotional activities.
- Small Industries Development Bank of India (SIDBI) — Principal financial institution for promotion, financing, and development of MSMEs.
- National Small Industries Corporation (NSIC) — Provides marketing, technology, finance, and skill support; runs single-point registration scheme for government purchases.
- Khadi and Village Industries Commission (KVIC) — Promotes khadi and village industries in rural areas.
- National Bank for Agriculture and Rural Development (NABARD) — Refinances rural and agro-based small enterprises.
- Council for Advancement of People's Action and Rural Technology (CAPART) — Supports rural technology and voluntary action.
- Entrepreneurship Development Institute of India (EDII), National Institute for Entrepreneurship and Small Business Development (NIESBUD), and Indian Institute of Entrepreneurship (IIE) — Conduct training, research, and entrepreneurship development programmes.

5.6 State Agencies Assisting Small Scale Industries

Each state government supplements national efforts through its own institutional machinery, oriented to local conditions and developmental priorities.

Key State Agencies:

- Directorate of Industries — Implements state industrial policy at the district level.
- District Industries Centres (DICs) — Single-window agency at the district level providing registration, project guidance, and subsidy disbursement.
- State Financial Corporations (SFCs) — Provide medium- and long-term finance to small and medium enterprises (e.g., UPFC in Uttar Pradesh).
- State Industrial Development Corporations (SIDCs) — Develop industrial estates and provide infrastructure (e.g., UPSIDC).
- State Small Industries Development Corporations (SSIDCs) — Supply scarce raw materials, machinery on hire-purchase, and marketing assistance.
- Technical Consultancy Organisations (TCOs) — Offer techno-economic feasibility studies and project reports.
- State Khadi and Village Industries Boards — Implement KVIC schemes within the state.

5.7 Revision Q&A — Unit V

Q. Which Act governs partnerships in India?

Ans. Partnerships in India are primarily governed by the Indian Partnership Act, 1932. Limited Liability Partnerships are separately governed by the LLP Act, 2008.

Q. Is registration of a partnership firm compulsory under the Indian Partnership Act, 1932?

Ans. No, registration is not compulsory. However, an unregistered firm suffers certain disabilities — it cannot file a suit against third parties or partners to enforce contractual rights.

Q. What is mutual agency in a partnership?

Ans. Mutual agency means that every partner is simultaneously an agent of the firm and of the other partners; the act of one partner in the ordinary course of business binds the firm and all partners.

Q. Differentiate between sole proprietorship and partnership.

Ans. A sole proprietorship has a single owner with unlimited liability and full control, whereas a partnership has two or more owners who share profits, losses, and management, with joint and several unlimited liability (except in LLPs).

Q. What is GST and what taxes did it replace?

Ans. GST (Goods and Services Tax) is a destination-based, multi-stage, value-added indirect tax implemented in India from 1 July 2017. It subsumed central excise duty, service tax, additional customs duty (CVD), state VAT, central sales tax, entry tax, luxury tax, and several other indirect levies.

Q. Under which law does an employer pay compensation for a workplace accident?

Ans. Under the Workmen's Compensation Act, 1923 (now known as the Employees' Compensation Act, 1923), the employer is liable to pay compensation for personal injury caused to a workman by an accident arising out of and in the course of employment.

Q. Name three national-level agencies that support small-scale industries.

Ans. SIDBI (Small Industries Development Bank of India), NSIC (National Small Industries Corporation), and KVIC (Khadi and Village Industries Commission).

Q. What is the role of District Industries Centres (DICs)?

Ans. DICs act as a single-window agency at the district level for the registration, promotion, and development of small-scale and tiny units. They offer project guidance, facilitate finance and subsidies, and connect entrepreneurs with state and central schemes.

Q. What are the components of GST?

Ans. GST in India has three components: Central GST (CGST) levied by the Centre, State / Union Territory GST (SGST/UTGST) levied by the State or UT, and Integrated GST (IGST) levied by the Centre on inter-state supplies and imports.

Consolidated Probable Examination Questions

Short-Answer Type (1–2 marks):

- Define balance sheet and write the accounting equation.
- Define economic viability of a project.
- Define cost of capital.
- State one objective of financial control.
- Define partnership as per Section 4 of the Indian Partnership Act, 1932.
- What is ABC analysis in inventory control?
- What is meant by routing in production planning?
- What is mutual agency in partnership?

Medium-Answer Type (5 marks):

- Explain the preparation of a balance sheet and discuss how it helps in assessing the financial health of a business.
- Discuss the concept of project planning and control. Explain the role of cost of capital in financial decision-making.
- Explain different forms of business ownership in India.
- Discuss the salient features of the Workmen's Compensation Act, 1923.
- Explain the techniques of inventory control with suitable illustrations.
- Describe the methods of economic evaluation of projects.

Long-Answer Type (10 marks):

- Describe in detail the role of national and state agencies in the promotion of small-scale industries in India.
- Explain the concept of a partnership business. Discuss its essential features, types of partners, and the consequences of non-registration.
- Discuss profit planning and programming. Explain how cash-flow planning, capital expenditure planning, and operational planning are integrated.
- Examine the methods of risk analysis used in capital budgeting decisions.

End of Class-Notes — Units III, IV and V

Prepared for B.Tech (VIII Semester) — KOE084 Entrepreneurship Development, AKTU.